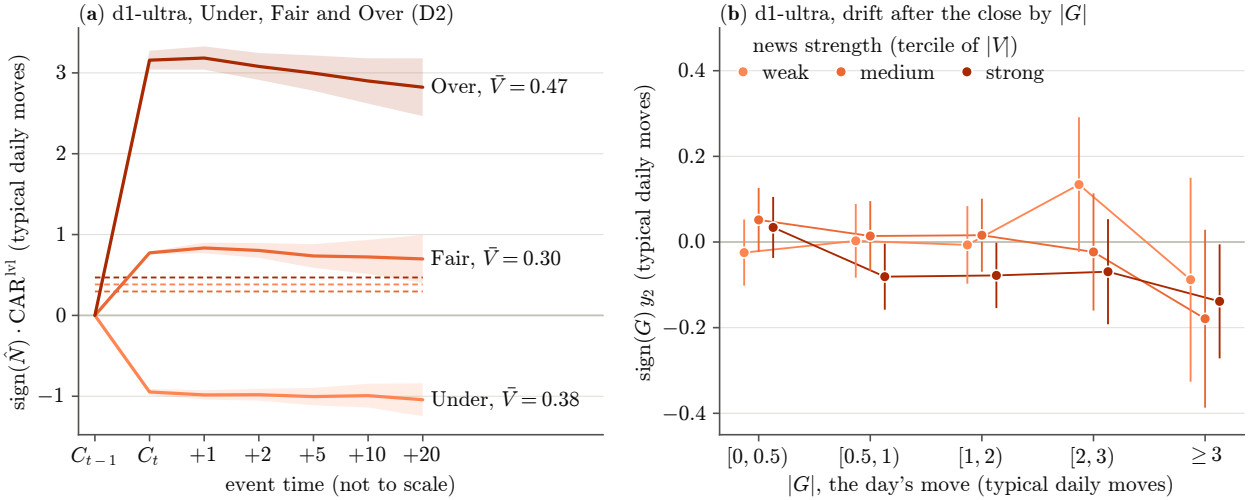
(a) d1-ultra, Under, Fair and Over (D2)
sign($\hat{N}$) · CAR^{lvl} (typical daily moves)
3
2
1
0
−1
Over, $\bar{V} = 0.47$
Fair, $\bar{V} = 0.30$
Under, $\bar{V} = 0.38$
C_{t-1}
C_t
+1
+2
+5
+10
+20
event time (not to scale)
(b) d1-ultra, drift after the close by $|G|$
news strength (tercile of $|V|$)
weak
medium
strong
sign(G) y_2 (typical daily moves)
0.4
0.2
0.0
−0.2
−0.4
[0, 0.5)
[0.5, 1)
[1, 2)
[2, 3)
≥ 3
$|G|$, the day's move (typical daily moves)